

Zhejiang Sanhua (H)

1Q26 core beat, but valuation looks stretched vs. 10% growth; reiterate U/P

Reiterate Rating: UNDERPERFORM | PO: 30.00 HKD | Price: 33.20 HKD

1Q26 core earnings beat on higher GPM/OPM

Sanhua's 1Q26 revenue was up only 1% YoY and up 11% QoQ, with refrigeration sales down 6% YoY and auto parts sales up 15% YoY. Gross margin improved 1ppt YoY to 27.8%, despite declining 3.4ppt QoQ, ahead of BofAe's 27.0%. Operating income grew 15% YoY / 25% QoQ due to better controlled opex, 5% ahead of BofAe. Earnings grew by only 3% YoY and 13% QoQ, a miss driven by FX loss and securities investment loss.

Autos grew, while refrigeration slowed on high base

By segment, refrigeration net profit declined 11% YoY in 1Q26. However, excluding FX loss, it saw positive YoY growth. Auto parts' net profit benefited from growing integrated product delivery and grew 23% YoY. Management expects demand in refrigeration business to pick up in North America from 2Q26, but maintained its FY26 new strategic business (data center, ESS – energy storage system liquid cooling) growth target of 50-100% unchanged.

Resilient GPM amid challenging environment

Worth highlighting, 1Q26 GPM saw YoY expansion to 27.8%, with 1) refrigeration GPM +1.5ppt YoY to 28%; and 2) auto parts +0.1ppt YoY to 27.7%. Sanhua indicated more benefits to refrigeration from higher copper price, as its cost pass-through mechanism is more comprehensive. Whereas, auto parts' GPM remained resilient despite downstream pressure and higher aluminum cost. Sanhua also completed several cost-down initiatives in 2025, which could continue to support its resilient margin profile in 2026.

Lower 2026-28E earnings by ~2%; reiterate Underperform

Sanhua maintained its FY26 earnings growth guidance of 15% unchanged. We factor in the 1Q26 results and lower our 2026-28E revenue/earnings by 2%/2% on average. Our PO remains unchanged. We reiterate Underperform given the current 27x P/E still appears stretched as growth likely moderates to 10% in 2026.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	3,099	4,063	4,460	5,108	5,716
EPS	0.830	0.965	1.06	1.21	1.36
EPS Change (YoY)	6.1%	16.3%	9.8%	14.5%	11.9%
Dividend / Share	0.250	0.279	0.318	0.364	0.407
Free Cash Flow / Share	0.288	0.461	0.674	0.584	1.07
Valuation (Dec)					
P/E	37.57x	30.88x	27.32x	23.85x	21.32x
Dividend Yield	0.801%	0.937%	1.10%	1.26%	1.41%
EV / EBITDA*	20.35x	16.27x	14.30x	12.63x	11.27x
Free Cash Flow Yield*	1.01%	1.82%	2.66%	2.30%	4.23%

* For full definitions of *IQmethod*SM measures, see page 7.

30 April 2026

Equity

Key Changes

(CNY)	Previous	Current
2026E Rev (m)	35,124.1	34,270.7
2027E Rev (m)	39,856.8	38,892.4
2028E Rev (m)	44,754.0	43,663.3
2026E EPS	1.08	1.06
2027E EPS	1.23	1.21
2028E EPS	1.38	1.36
2026E EBITDA (m)	6,660.8	6,674.0
2027E EBITDA (m)	7,593.9	7,557.1
2028E EBITDA (m)	8,498.6	8,463.8

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Stock Data

Price	33.20 HKD
Price Objective	30.00 HKD
Date Established	25-Mar-2026
Investment Opinion	C-3-7
52-Week Range	20.70 HKD-46.48 HKD
Mrkt Val / Shares Out (mn)	17,830 USD / 4,208.9
Market Value (mn)	139,736 HKD
Average Daily Value (mn)	42.69 USD
Free Float	96.8%
BofA Ticker / Exchange	XZSJF / HKG
Bloomberg / Reuters	2050 HK / 2050.HK
ROE (2026E)	13.4%
Net Dbt to Eqty (Dec-2025A)	-34.6%

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 5. Price Objective Basis/Risk on page 5.

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Timestamp: 30 April 2026 11:14AM EDT

iQprofileSM Zhejiang Sanhua (H)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	27,947	31,012	34,271	38,892	43,663
Gross Profit	7,677	8,924	9,701	10,994	12,321
Sell General & Admin Expense	(2,494)	(2,661)	(2,698)	(3,064)	(3,430)
Operating Profit	3,660	4,714	5,291	5,990	6,712
Net Interest & Other Income	31	130	18	131	133
Associates	NA	NA	NA	NA	NA
Pretax Income	3,692	4,844	5,309	6,121	6,845
Tax (expense) / Benefit	(580)	(737)	(801)	(963)	(1,076)
Net Income (Adjusted)	3,099	4,063	4,460	5,108	5,716
Average Fully Diluted Shares Outstanding	3,732	4,209	4,209	4,209	4,209

Key Cash Flow Statement Data

Net Income	3,099	4,063	4,460	5,108	5,716
Depreciation & Amortization	1,029	1,152	1,383	1,567	1,752
Change in Working Capital	(147)	(1,312)	(226)	(1,537)	(280)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	385	1,188	20	21	22
Cash Flow from Operations	4,367	5,091	5,637	5,158	7,209
Capital Expenditure	(3,290)	(3,152)	(2,800)	(2,700)	(2,700)
(Acquisition) / Disposal of Investments	(331)	(681)	0	0	0
Other Cash Inflow / (Outflow)	109	40	0	0	0
Cash Flow from Investing	(3,512)	(3,793)	(2,800)	(2,700)	(2,700)
Shares Issue / (Repurchase)	337	9,734	0	0	0
Cost of Dividends Paid	(1,445)	(1,088)	(1,176)	(1,338)	(1,532)
Cash Flow from Financing	(955)	7,802	(1,176)	(1,338)	(1,532)
Free Cash Flow	1,076	1,938	2,837	2,458	4,509
Net Debt	(1,065)	(11,085)	(12,745)	(13,866)	(16,843)
Change in Net Debt	689	(9,388)	(1,661)	(1,120)	(2,977)

Key Balance Sheet Data

Property, Plant & Equipment	11,966	13,416	14,938	16,184	17,255
Other Non-Current Assets	2,087	2,268	2,163	2,049	1,927
Trade Receivables	9,628	10,993	10,602	13,905	13,608
Cash & Equivalents	5,255	14,931	16,592	17,712	20,689
Other Current Assets	7,418	7,799	8,933	9,535	10,731
Total Assets	36,355	49,406	53,227	59,386	64,210
Long-Term Debt	2,046	863	863	863	863
Other Non-Current Liabilities	1,156	1,138	1,138	1,138	1,138
Short-Term Debt	2,144	2,983	2,983	2,983	2,983
Other Current Liabilities	11,489	12,382	12,871	15,209	15,796
Total Liabilities	16,835	17,366	17,855	20,193	20,780
Total Equity	19,520	32,040	35,373	39,193	43,430
Total Equity & Liabilities	36,355	49,406	53,227	59,386	64,210

iQmethodSM - Bus Performance*

Return On Capital Employed	13.1%	12.9%	11.6%	12.1%	12.4%
Return On Equity	16.7%	15.9%	13.4%	13.8%	14.0%
Operating Margin	13.1%	15.2%	15.4%	15.4%	15.4%
EBITDA Margin	16.8%	18.9%	19.5%	19.4%	19.4%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.4x	1.3x	1.3x	1.0x	1.3x
Asset Replacement Ratio	3.2x	2.7x	2.0x	1.7x	1.5x
Tax Rate (Reported)	15.7%	15.2%	15.1%	15.7%	15.7%
Net Debt-to-Equity Ratio	-5.5%	-34.6%	-36.0%	-35.4%	-38.8%
Interest Cover	NA	46.6x	NM	NA	NA

Valuation (A-share)

P/E	NA	NA	NA	NA	NA
Dividend Yield	NA	NA	NA	NA	NA
EV / EBITDA*	NA	NA	NA	NA	NA
Free Cash Flow Yield*	NA	NA	NA	NA	NA

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

Auto Parts

Company Description

Sanhua mainly produces valves, pumps, and heat exchangers. It started with component of refrigeration business at early stage and then tapped into four-way reversing valves, and home appliance component through mergers & acquisitions. Eventually, it tapped into auto thermal management systems (TMS). In 2024, the refrigeration (including household HVAC, commercial refrigeration, Aweco and micro-channel) and auto component businesses made up 60% and 40% of revenue, respectively.

Investment Rationale

We have an Underperform rating on Zhejiang Sanhua as we expect: 1) growth in its core businesses (including refrigeration components and auto parts) to normalize, 2) margin might start facing pressure in 2026 given higher input cost and downstream (OEM) challenging environment, and 3) while opportunities in humanoid robot actuators and liquid cooling solutions position the company well for its next growth stage, the current valuation appears stretched.

Stock Data

Price to Book Value

3.0x

Earnings review and estimate revisions

Exhibit 1: Quarterly comparison

Earnings grew by only 3% YoY / 13% QoQ, a miss driven by FX loss and securities investment loss

(RMB mn)	1Q26 (A)	1Q26 (F)	Diff (%)	YoY	QoQ	4Q25	3Q25	2Q25	1Q25
Revenue	7,774	8,206	-5.3%	1.4%	11.3%	6,982	7,767	8,593	7,669
COGS	5,613	5,991	-6.3%	0.0%	16.8%	4,807	5,591	6,078	5,612
Gross profit	2,161	2,216	-2.5%	5.0%	-0.7%	2,176	2,176	2,515	2,057
Operating exp	951	1,062	-10.4%	-5.3%	-21.2%	1,207	992	1,006	1,005
Operating income (EBIT)	1,209	1,154	4.8%	14.9%	24.8%	969	1,183	1,509	1,053
Pretax Income	1,119	1,213	-7.8%	1.0%	18.6%	944	1,363	1,428	1,108
Net Income	951	995	-4.4%	3.0%	16.3%	818	1,151	1,215	923
Net Income attribute to shareholder	928	974	-4.8%	2.7%	13.1%	821	1,132	1,207	903
EPS	0.22	0.23	-4.8%	2.7%	13.1%	0.19	0.27	0.29	0.21
Key ratios (%)									
GM	27.8%	27.0%				31.2%	28.0%	29.3%	26.8%
Op. margin (clean EBIT)	15.6%	14.1%				13.9%	15.2%	17.6%	13.7%
NM	12.2%	12.1%				11.7%	14.8%	14.1%	12.0%
OPEX to sales	12.2%	12.9%				17.3%	12.8%	11.7%	13.1%

Source: BofA Global Research estimates, company report

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Exhibit 2: New vs. old estimates

We cut 2026-28E earnings by 2.0%/1.7%/1.7%

	2026F			2027F			2028F		
(RMB mn)	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Sales	35,124	34,271	-2.4%	39,857	38,892	-2.4%	44,754	43,663	-2.4%
- Refrigeration business	20,853	19,399	-7.0%	23,564	21,920	-7.0%	26,392	24,551	-7.0%
- Auto parts business	13,821	14,422	4.3%	15,618	16,297	4.3%	17,350	18,100	4.3%
- Others	450	450	0.0%	675	675	0.0%	1,013	1,013	0.0%
Gross Profit	9,861	9,701	-1.6%	11,176	10,994	-1.6%	12,528	12,321	-1.7%
Operating Profit (EBIT)	5,297	5,291	-0.1%	6,059	5,990	-1.1%	6,792	6,712	-1.2%
Pretax income	5,465	5,309	-2.8%	6,227	6,121	-1.7%	6,960	6,845	-1.6%
Net Income	4,603	4,508	-2.1%	5,245	5,159	-1.6%	5,863	5,769	-1.6%
Net Income attribute to shareholder	4,557	4,460	-2.1%	5,196	5,108	-1.7%	5,812	5,716	-1.7%
EPS	1.08	1.06	-2.1%	1.23	1.21	-1.7%	1.38	1.36	-1.7%
Key ratios (%)									
Sales growth	13.3%	10.5%		13.5%	13.5%		12.3%	12.3%	
- Refrigeration business sales growth	12.2%	4.4%		13.0%	13.0%		12.0%	12.0%	
- Auto parts business sales growth	11.2%	16.1%		13.0%	13.0%		11.1%	11.1%	
EPS growth	12.2%	9.8%		14.0%	14.5%		11.8%	11.9%	
Gross margin	28.1%	28.3%		28.0%	28.3%		28.0%	28.2%	
Operating margin (clean EBIT)	15.1%	15.4%		15.2%	15.4%		15.2%	15.4%	
Net margin	13.1%	13.2%		13.2%	13.3%		13.1%	13.2%	
OPEX to sales	13.0%	12.9%		12.8%	12.9%		12.8%	12.8%	

Source: BofA Global Research estimates

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Exhibit 3: P&L summary

We now expect 2026 earnings to see 10% growth (below mgmt.'s target of 15%)

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Revenue	7,669	8,593	7,767	6,982	31,012	7,774	9,105	9,009	8,383	34,271
Total cost of goods sold	5,612	6,078	5,591	4,807	22,087	5,613	6,575	6,451	5,932	24,570
Gross profit	2,057	2,515	2,176	2,176	8,924	2,161	2,530	2,559	2,452	9,701
Promotion	143	165	127	317	752	140	164	162	251	718
G&A	461	442	428	578	1,909	401	455	486	637	1,980
R&D	360	345	399	270	1,374	367	382	432	335	1,518
Operating expenses	1,005	1,006	992	1,207	4,210	951	1,058	1,126	1,275	4,410
Operating income (EBIT)	1,053	1,509	1,183	969	4,714	1,209	1,472	1,433	1,177	5,291
Pretax income	1,108	1,428	1,363	944	4,844	1,119	1,551	1,516	1,123	5,309
Taxes or tax credit	185	214	212	126	737	168	248	227	157	801
Profit before minority	923	1,215	1,151	818	4,107	951	1,302	1,289	966	4,508
Minority interest	20	8	19	-3	44	23	9	19	-3	48
Net income	903	1,207	1,132	821	4,063	928	1,294	1,269	969	4,460
EPS (RMB)	0.21	0.29	0.27	0.19	0.97	0.22	0.31	0.30	0.23	1.06
Fully diluted shares (mn)	4,209	4,209	4,209	4,209	4,209	4,209	4,209	4,209	4,209	4,209
Operating Ratios										
Gross margins	26.8%	29.3%	28.0%	31.2%	28.8%	27.8%	27.8%	28.4%	29.2%	28.3%
Promotion	1.9%	1.9%	1.6%	4.5%	2.4%	1.8%	1.8%	1.8%	3.0%	2.1%
SG&A	6.0%	5.1%	5.5%	8.3%	6.2%	5.2%	5.0%	5.4%	7.6%	5.8%
R&D	4.7%	4.0%	5.1%	3.9%	4.4%	4.7%	4.2%	4.8%	4.0%	4.4%
Operating margin	13.7%	17.6%	15.2%	13.9%	15.2%	15.6%	16.2%	15.9%	14.0%	15.4%
Pre-tax margin	14.4%	16.6%	17.6%	13.5%	15.6%	14.4%	17.0%	16.8%	13.4%	15.5%
Tax rate	16.7%	15.0%	15.6%	13.4%	15.2%	15.0%	16.0%	15.0%	14.0%	15.1%
Net margin	12.0%	14.1%	14.8%	11.7%	13.2%	12.2%	14.3%	14.3%	11.5%	13.2%
YoY %										
Net revenues	19.1%	18.7%	12.8%	-5.4%	11.0%	1.4%	6.0%	16.0%	20.1%	10.5%
Gross profit	18.1%	24.9%	12.2%	9.8%	16.2%	5.0%	0.6%	17.6%	12.7%	8.7%
Operating income	25.1%	49.1%	36.1%	3.4%	28.8%	14.9%	-2.5%	21.1%	21.5%	12.2%
Net income	39.5%	39.2%	43.8%	2.9%	31.1%	2.7%	7.2%	12.1%	18.1%	9.8%
Fully diluted EPS	23.7%	23.4%	27.5%	-8.7%	16.3%	2.7%	7.2%	12.1%	18.1%	9.8%
QoQ %										
Net revenues	3.9%	12.0%	-9.6%	-10.1%		11.3%	17.1%	-1.1%	-6.9%	
Gross profit	3.8%	22.2%	-13.5%	0.0%		-0.7%	17.1%	1.1%	-4.2%	
Operating income	12.4%	43.3%	-21.6%	-18.1%		24.8%	21.7%	-2.7%	-17.8%	
Net income	13.3%	33.6%	-6.1%	-27.5%		13.1%	39.5%	-1.9%	-23.7%	
Fully diluted EPS	0.5%	33.6%	-6.1%	-27.5%		13.1%	39.5%	-1.9%	-23.7%	

Source: BofA Global Research estimates, company report

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Price objective basis & risk

Zhejiang Sanhua (XZSJF)

Our PO of HKD30 is based on SOTP valuation methodology.

SOTP valuation:

Refrigeration business: we apply 15x target P/E over 2026E net profit. Our target P/E (15x) is based on 1.0x PEG over 15% 2026-28E earnings CAGR.

Auto parts business: we apply 15x target P/E over 2026E net profit. Our target PER of 15x is based on 1.3x PEG (in-line with peers average) over 12% 2026-28E earnings CAGR. We believe this is justified given 1) Sanhua having high market share in key components and being a well-recognized supplier globally in the thermal management industry, 2) Sanhua's edge and leading R&D capability, which should support the company in maintaining leading position in the field, 3) its ROE is at a supreme level vs industry average.

Humanoid robot business: we apply 50x target P/E to its 2030E net profit from humanoid robot components. Our target PER of 50x mainly is supported by (1) global humanoid robot shipments to see exponential growth from 20k units in 2025 to 1.2mn units in 2030E, and (2) this is in-line with other leading Chinese suppliers who are involved in Tesla's Optimus supply chain (Tuopu, Hengli). Lastly, we discount 2030E implied value to 2026E implied value with 11.0% WACC.

Risks: Lower growth in household and commercial refrigeration industry, China/Global auto/EV market demand and growth deceleration, Raw material price hikes,
Upside risks: Higher growth in household and commercial refrigeration, China/Global auto/EV market demand and growth accelerates.

Analyst Certification

I, Jessie Lo, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aima Technology	XIHBF	603529 CH	Joey Yang, CFA
	Ashok Leyland	XDBVF	AL IN	Gunjan Prithyani
	Astra International	PTAIF	ASII IJ	Jessie Lo
	Bajaj Auto	XBJBF	BJAUT IN	Gunjan Prithyani
	Bethel	XBETF	603596 CH	Joey Yang, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
	BYD	BYDDF	1211 HK	Ming Hsun Lee, CFA
	BYD	XYMPF	002594 CH	Ming Hsun Lee, CFA
	BYD	BYDDY	BYDDY US	Ming Hsun Lee, CFA
	CALB	XCLSF	3931 HK	Ming Hsun Lee, CFA
	CATL	XMOQF	300750 CH	Ming Hsun Lee, CFA
	CATL	CTATF	3750 HK	Ming Hsun Lee, CFA
	Chery Auto	XCAVF	9973 HK	Joey Yang, CFA
	DENSO	DNZOF	6902 JP	Shiro Sakamaki
	Ehang	EH	EH US	Fiona Liang
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	EVE	XEVEF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XFGIF	600660 CH	Jessie Lo
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Geely	GELYF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hesai	HSAL	HSAL US	Jessie Lo
	Hesai	XHGZF	2525 HK	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Isuzu Motors	ISUZF	7202 JP	Shiro Sakamaki
	Joyson	XQMWF	600699 CH	Fiona Liang
	Joyson	XJYSF	699 HK	Fiona Liang
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Nexteer	NTXVF	1316 HK	Joey Yang, CFA
	NHK Spring	NHKGf	5991 JP	Shiro Sakamaki
	Ninebot	XNLTF	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Seres	XSGLF	9927 HK	Joey Yang, CFA
	Shenzhen Kedali	XWCSF	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	WRDIF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Yikai Liu, CFA
	Wuxi Lead	XLDFD	470 HK	Yikai Liu, CFA
	Xingyu Automotive Lighting	XLIXF	601799 CH	Joey Yang, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yadea	YADGF	1585 HK	Joey Yang, CFA
NEUTRAL				
	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	MeiDong Auto	CMEIF	1268 HK	Joey Yang, CFA
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTFW	NIO SP	Ming Hsun Lee, CFA
	SAIC Motor	XZNFJ	600104 CH	Ming Hsun Lee, CFA
	SAMIL (Motherson International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyoda Gosei	TGOSF	7282 JP	Shiro Sakamaki

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang

UNDERPERFORM

	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardine Cycle & Carriage	JCYCF	JCNC SP	Jessie Lo
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherson Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELEC IN	Gunjan Prithyani
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	Yongda	CYYHF	3669 HK	Joey Yang, CFA
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhejiang Sanhua	XZSJF	2050 HK	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA

RSTR

	Desay SV	XGDF	002920 CH	Joey Yang, CFA
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iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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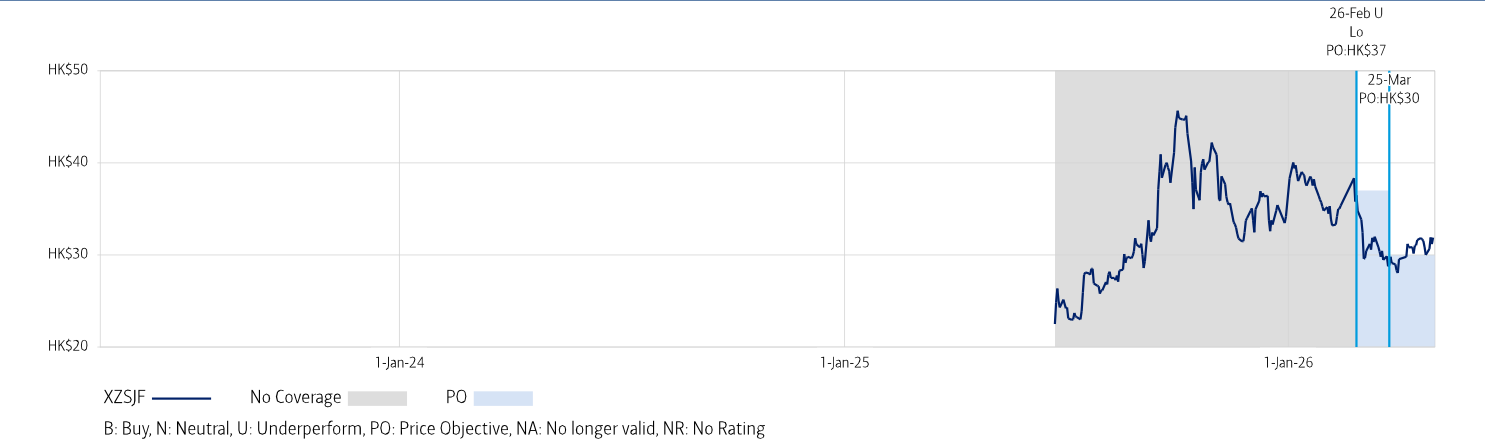
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Sanhua (XZSJF) Price Chart



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Equity Investment Rating Distribution: Autos Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	75	58.14%	Buy	40	53.33%
Hold	27	20.93%	Hold	18	66.67%
Sell	27	20.93%	Sell	15	55.56%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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